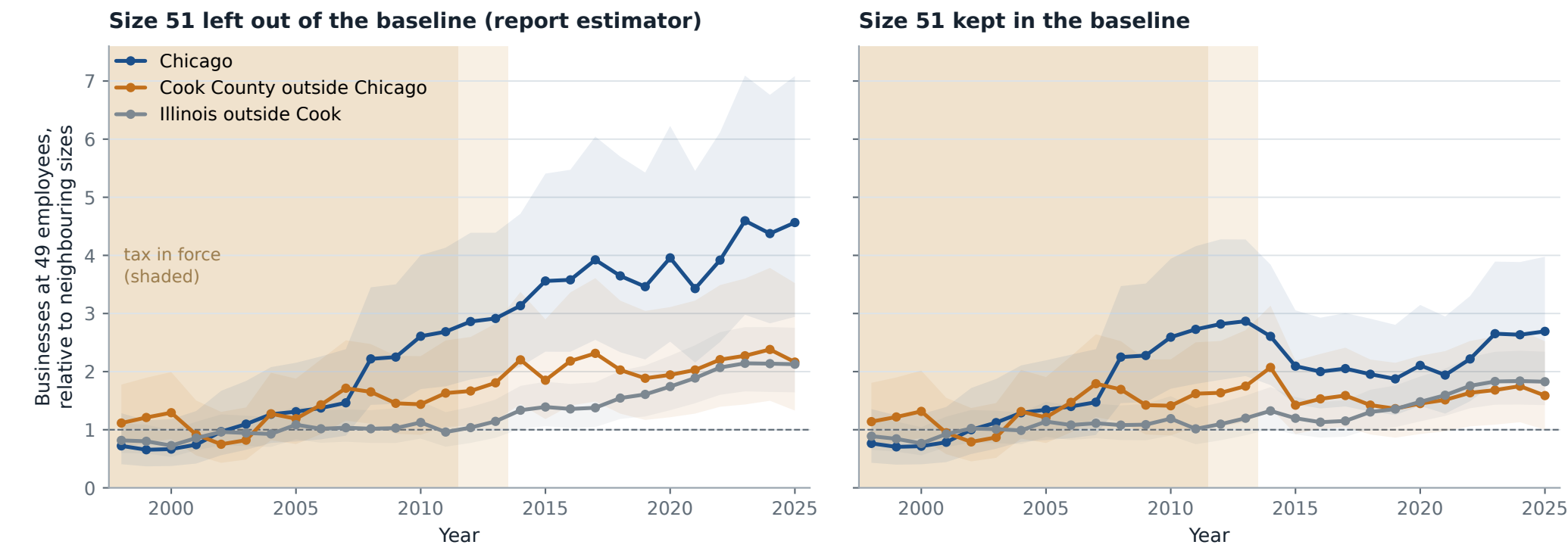


Clustering at 49 has risen since the late 1990s, in Chicago and in areas that never had the tax

Businesses reporting exactly 49 employees relative to neighbouring sizes, by year. The panels differ only in whether size 51 is in the baseline



Single-location Chicago businesses with a verified headcount; comparison areas are Cook County outside Chicago and Illinois outside Cook County, which never levied the tax. A value of 1 means 49 is no more common than its neighbours. Darker shading marks 1998-2011, when the tax applied at 50 or more employees; lighter shading marks the 2012-2013 phase-out; the tax was repealed at the end of 2013. Chicago runs 0.72 in 1998 and 4.57 in 2025 with 51 left out, and 0.76 and 2.69 with it kept in. The level and the timing after 2013 depend on the treatment of 51, whose count rises from 2014 for reasons we cannot document. The rise in both comparison areas holds under both baselines. Baseline is the average count at the sizes shown: 46-48 and 52-54 (left), and 46-48 and 51-54 (right). Size 50 is always excluded because businesses round their own headcount to it. Bands are nominal 95 percent intervals and overstate precision. Source: Data Axle (Infogroup) historical business files, 1998-2025.